

- 1) Provide wider meaning of privatisation.

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- 2) Distinguish between privatisation and disinvestment.

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- 3) What are the different forms of privatisation?

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- 4) Point out the need for privatisation in India.

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8.5 DISINVESTMENT IN INDIA

Disinvestment in public enterprises was proposed as a policy option in the Industrial Policy Statement of July 1991. The Government will divest its equity in piecemeal. Reforms in public sector undertakings (PSUs) have taken many forms, ranging from privatisation to subjecting them to a hard budget constraint, introducing competition to toning up financial sector. India's disinvestment has its roots in economic compulsion. Disinvestment can cover various forms. Which forms and which units are chosen at any time is guided by market conditions and the desire to get the maximum value for currently owned assets. This is a matter of careful examination and surveillance of much strategic thinking. For framing proper strategies of disinvestment of shares of PSUs, a committee under the

chairmanship of Dr C. Rangarajan was appointed in 1993 which recommended disinvesting up to 49 per cent of PSUs equity for industries explicitly reserved for the public sector and over 74 per cent in other industries. But the then Government did not take any decision on the Committee's recommendations.

The Government constituted a five-member Public Sector Disinvestment Commission under the Chairmanship of Shri. G.V. Ramkrishna in August 1994 for drawing a long-term disinvestment programme for the PSUs referred to the Commission. The Commission submitted a dozen reports suggesting a slew of measures including strategic sale, equity sale and closure, besides making general recommendations on 58 PSUs. However, in November 1999, the Commission was wound up and a Department of Investment and Public Asset Management was created under Ministry of Finance.

Successive governments since 1991 declared their intent to disinvest but little progress has been made over the years. The record of performance of Government on disinvestment has been uniformly poor. The present process of disinvestment of PSUs is indiscriminate, unplanned and lacks clear policy on the government's part. According to department of investment and public asset management, since the inception of the process of disinvestment in 1991-92 to January 2020 an amount of Rs 3,54,307.75 have been mobilised through disinvestment proceeds.

The process of disinvestment has evolved from public offering of shares to strategic sale of equity to select partners to complete asset selling. The strategic sale method confers a better valuation and paves the way for a technological up-gradation of the target company. The main disadvantage of the sale of minority stakes has been lower realisation as management control is not transferred. Minority sales also give the impression that the main objective of the government is to raise funds for reducing its fiscal deficit, and not to improve performance or governance. Yet, because the share offer route is politically more acceptable, all governments have relied on it.

8.6 PROBLEMS RELATED TO DISINVESTMENT PROCESS/MODES

Controversies abound with regard to the mode of disinvestment. Ultimately, the issue relating to disinvestment revolve around three questions– why, how and how much. Dr G. S. Gupta (1998) has pointed out that the question of how to privatise raises several issues:

- i) Which approach is the best for which unit?
- ii) Are various approaches substitutes/complementary?
- iii) How to motivate politicians/bureaucrats/employees/ towards privatisation?
- iv) When to sell assets/equity?
- v) How to value assets/equity?
- vi) What proportion of equity to sell? Whom to sell; retail investors, multinational, expatriates, NRIs?
- vii) Does privatisation fetch sustainable revenue?
- viii) How to close in the absence of exit policy/voluntary retirement scheme?

- ix) How to sequence privatisation?
- x) Would disinvestment crowd out private investment?

There is no definite answer to any of these questions. These problems are very complex and it is not possible to find out an easy way out.

Abhijit Roy (2002) has observed that Indian opinion seems to be divided in two camps. The privatisers say that “the government has no business to be in business” hence divestment is the only way out. The other camp holds the view that the government should not hand over the family silver to crooks and charlatans who dominate Indian businesses. Nor do they want the government companies to be handed over to the MNCs. Whatever the merits of the arguments, one cannot ignore either of these two opinions. One does not have to be dogmatic in one’s approach. The goal should be to achieve a vibrant corporate sector in the medium term consisting of various types of ownership patterns. E. A. S. Sarma (2004) has rightly observed that the disinvestment policies of the successive government remained hazy.

Lessons of privatisation in other countries and the Indian experience support adoption of a pragmatic approach to privatisation, rather than its total rejection. It is clear that privatisation has not been very popular. PSUs would have to be freed from control by ministries. And this freedom would have to be structured institutionally. There is the need for distancing government from control and management over public enterprises to enable them to run more efficiently. Autonomy must be the object, not raising revenues. Ownership must not mean interference in governance and management of companies by government representatives.

8.7 CONDITIONS FOR SUCCESS OF PRIVATISATION POLICY

The mixed empirical evidence on privatisation is warning against sweeping generalisations about the impact of privatisation. Dr Mahbub Ul Haq (the man behind Human Development Reports published by of the United Nations Development Programme) has cautioned economies privatising their public sector, as part of a structural adjustment and economic reform programme, must bear in mind that they do not commit the “seven sins of privatisation”. The seven sins of privatisation are:

- i) confused objectives,
- ii) lack of transparency,
- iii) concentration of assets,
- iv) lack of competition,
- v) a poor financial strategy,
- vi) the dominance of fiscal objective of financing deficits, and
- vii) lack of political consensus.

Revenue maximisation should not be the objective of privatisation. Efficiency and equity are the relevant objectives and the success of privatisation should be evaluated against these objectives. Long-term efficiency gains are more important